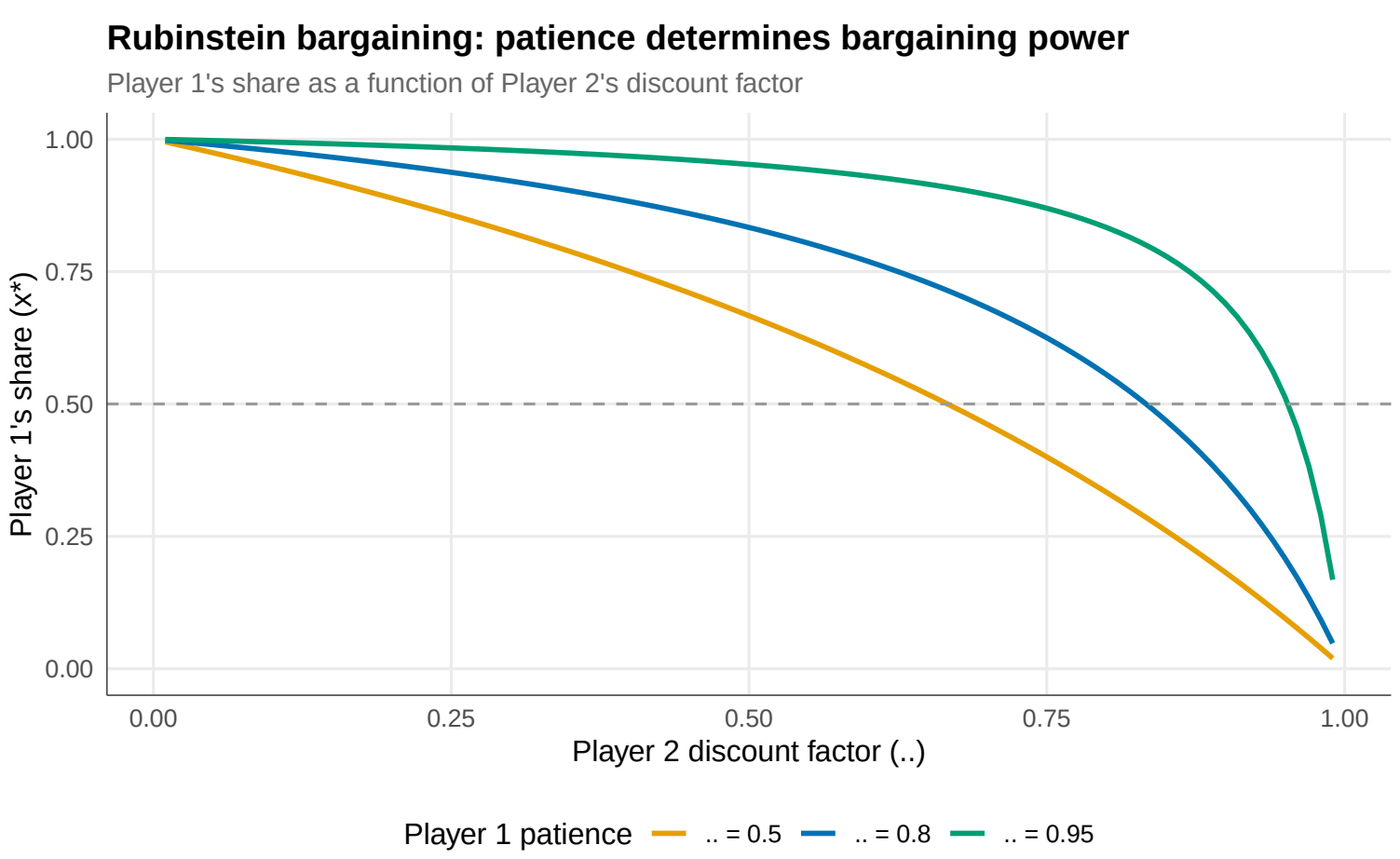
Rubinstein bargaining: patience determines bargaining power
Player 1's share as a function of Player 2's discount factor
1.00
0.75
0.50
0.25
0.00
Player 1's share (x*)
0.00
0.25
0.50
0.75
1.00
Player 2 discount factor (..)
Player 1 patience
.. = 0.5
.. = 0.8
.. = 0.95